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Group 4

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Background

Definity Financial Corporation

Definity Financial Corporation is a Canadian property and casualty (P&C) insurer headquartered in Waterloo, Ontario. Founded in 1871 as Economical Mutual Insurance Company, it operates exclusively within Canada, making it a pure-play Canadian insurer meaning it only conducts business in Canada.

Its major Canadian lines of business include Personal Auto, Personal Property, and Commercial Insurance. The company also offers specialty products through brands such as Sonnet Insurance and Petline.

As of July 2026, Definity's share price was approximately $79 per share with a market capitalization of about $9.4 billion. It holds roughly 5% of the Canadian P&C insurance market and ranks among the top six insurers, moving into the top five following its acquisition of Travelers Canada.

Intact Financial Corporation

Intact Financial Corporation is Canada's largest property and casualty insurer, headquartered in Toronto. Unlike Definity, Intact operates internationally across Canada, the United States, and the United Kingdom & Ireland.

Its Canadian operations focus on Personal Auto, Personal Property, and Commercial Insurance while also maintaining a strong specialty insurance business. Intact distributes its products through brokers, BrokerLink, belairdirect, and other channels.

As of July 2026, Intact's share price was approximately $295 with a market capitalization of around $52 billion. It controls approximately 18% of the Canadian P&C market, making it the industry leader

Key Differences

Intact is significantly larger than Definity in terms of premiums written, market capitalization, and market share. It benefits from international diversification, multiple distribution channels, and greater financial resources. In contrast, Definity operates solely in Canada, giving it a more focused business model but greater exposure to Canadian regulatory and catastrophe risks.

Recent Changes and Their Impact

Definity

- Demutualization & IPO (2021): Converted from a mutual insurer to a publicly traded company, raising approximately $1.6 billion. This provided access to capital markets and created opportunities for future acquisitions and long-term growth.
- Travelers Canada Acquisition (2026): Acquired Travelers' Canadian operations for approximately $3.3 billion, increasing annual premiums to about $6.5 billion and moving Definity into Canada's top five P&C insurers.
- Subsidiary Expansion: Continued investing in McDougall Insurance, strengthening broker relationships and creating additional fee-based revenue beyond underwriting.

These initiatives significantly increased Definity's scale, strengthened its competitive position, diversified operations, and created a pathway toward higher long-term profitability and ROE.

Intact

- RSA Acquisition (2021): Acquired RSA Insurance Group, transforming Intact into a global insurer with operations across Canada, the UK, Ireland, and the US while significantly increasing premiums and market share.
- Direct Line Commercial Acquisition: Expanded its UK commercial insurance business, strengthening its specialty insurance portfolio and increasing economies of scale.
- Portfolio Optimization: Exited lower-performing business lines to improve underwriting quality and focus on higher-return commercial and specialty insurance.
- Distribution & Claims Network: Continued expanding BrokerLink and On Side Restoration, increasing control over distribution, claims management, and customer relationships.
- Capital Management: Maintained a strong capital position, increased dividends, and preserved financial flexibility for future acquisitions.

Intact reinforced its position as Canada's largest P&C insurer through strategic acquisitions, operational efficiency, and international diversification.

Changes That Impacted Both Companies

- IFRS 17 and IFRS 9 were adopted in 2023, changing how insurance revenue, claims liabilities, and financial performance are reported.
    - Although both companies follow the same accounting standards, certain operating metrics are calculated differently,
- Rising Catastrophe Losses
    - More frequent wildfires, floods, hailstorms, and severe weather increased claims costs.
    - Forced insurers to purchase more reinsurance and strengthen catastrophe risk management.
    - Increased premiums across many personal property insurance products.
- Inflation in Repair and Replacement Costs
    - Higher labour, vehicle parts, and construction costs increased claim severity.
    - Pressured underwriting profitability.
    - Led insurers to implement larger premium increases and tighter underwriting standards.

Strategic Assessment

Industry Overview

The Canadian P&C insurance industry is heavily regulated, highly competitive, and increasingly affected by climate-related catastrophe losses. Inflation has increased repair and claims costs, while higher interest rates have improved investment income. Advances in AI, data analytics, and digital distribution continue to reshape underwriting and claims management. Overall, companies with strong capital, efficient operations and broad distribution networks are best positioned for long-term success.

Porter's Five Forces Analysis

1. **Competitive Rivalry (High):** The market features heavy competition dominated by large players like Intact, which leverages massive scale and data advantages. This forced mid-market players like Definity to compete aggressively via broker channels.
2. **Bargaining Power of Buyers (High):** Consumers face low switching costs and utilize digital comparison tools, driving intense price sensitivity in personal auto and property lines.
3. **Bargaining Power of Suppliers (High):** Global reinsurance companies hold significant leverage, raising pricing and tightening capacity due to escalating Canadian climate catastrophe losses.
4. **Threat of New Entrants (Low to Moderate):** Heavily restricted by strict OSFI capital requirements and the immense data scale required to price risk accurately using AI.
5. **Threat of Substitutes (Low):** Core P&C insurance is highly non-discretionary due to mandatory provincial automobile insurance laws and mortgage lending requirements.

SWOT Analysis

SWOT Factor	Definity Financial	Intact Financial
Strengths	Rapid growth, strong broker relationships, improving underwriting performance.	Market leadership, international diversification, strong profitability.
Weaknesses	Smaller scale, Canadian-only operations, lower ROE than Intact.	Slower growth due to size, complex international operations.
Opportunities	Travelers integration, AI adoption, commercial insurance growth.	Global expansion, continued acquisitions, technology investments.
Threats	Catastrophe losses, regulatory changes, competition from larger insurers.	Climate risk, regulatory changes, increasing competition.

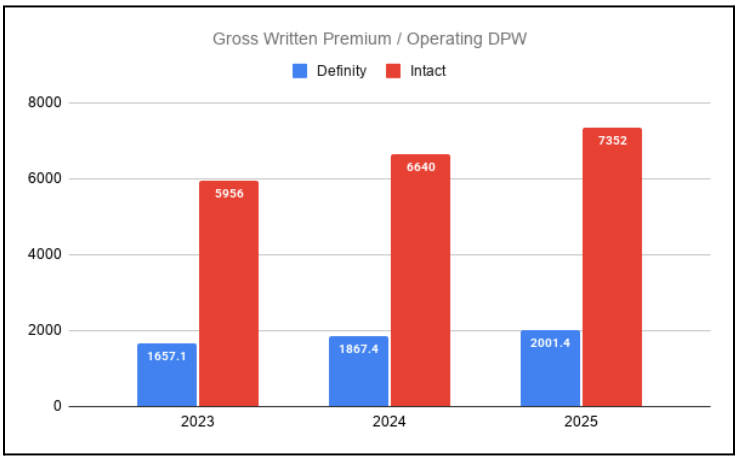
Metrics and Ratios

1. Gross Written Premium (Definity), Operating DPW (Intact)

Canadian Personal Auto Analysis

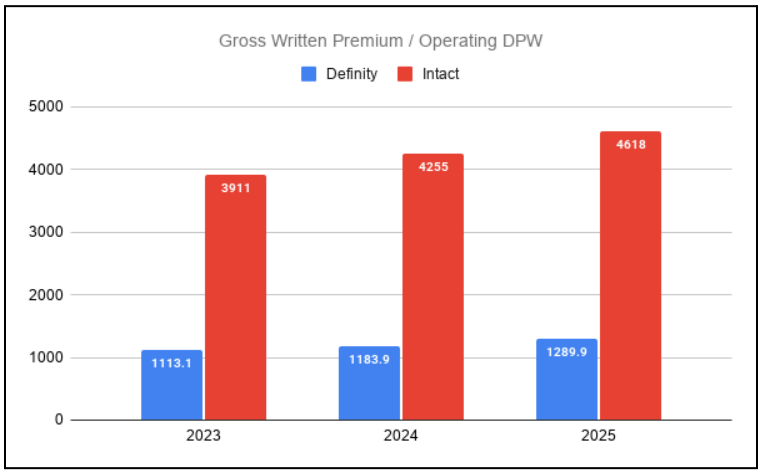
From 2023 to 2025, both insurers experienced top-line premium growth driven by aggressive regulatory rate increases across Canada. However, a massive gap in premium volume persists due to a structural divergence in distribution scale. Intact commands an unmatched multi-channel pipeline, whereas Definity operates with a smaller footprint heavily reliant on independent brokers and its digital brand, Sonnet.

This places Intact in a superior strategic position, as its dominant market share yields a compounding data advantage that allows its proprietary AI models to segment auto risks with greater speed and precision than its competitors.



Canadian Personal Property Analysis

Intact maintains its market dominance in the property space, generating $4,618M in 2025 premium volume compared to Definity's $1,289.9M. While both insurers experienced steady growth from 2023 to 2025 as inflation and severe weather claims forced industry-wide rate hikes, Intact outpaced Definity with an 18.08% growth rate versus Definity's 15.88%. This faster growth expands Intact's lead and reinforces its superior position in the Canadian property insurance market.

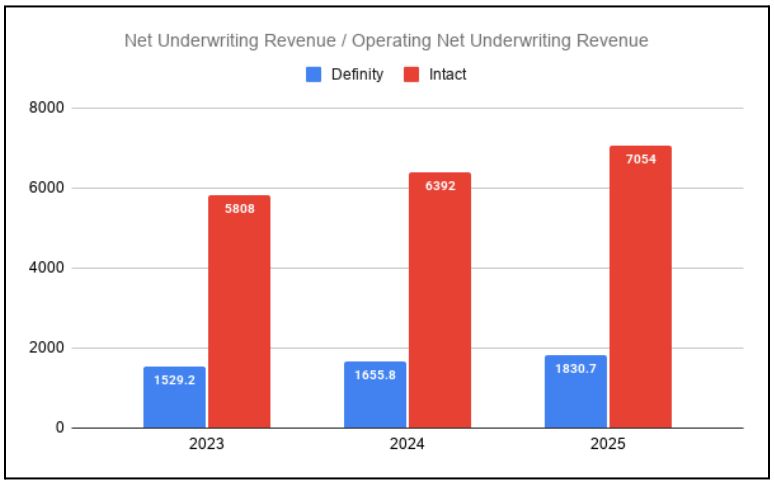


2. Net Underwriting Revenue (Definity), Operating DPW (Intact)

Canadian Personal Auto Analysis

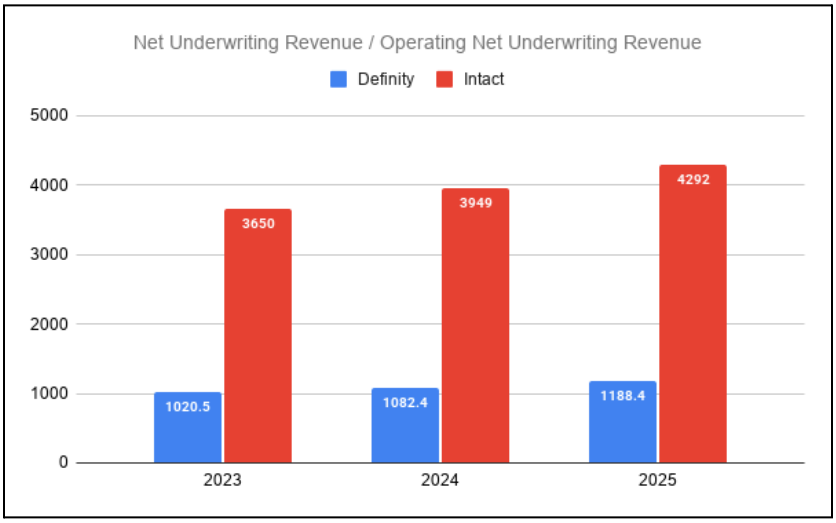
This revenue data mirrors the premium scale gap, with Intact reaching $7,054M in 2025 - roughly 3.9 times larger than Definity's $1,830.7M. Intact retains a higher proportion of its gross exposures on its own books. This is driven by its massive structural scale and robust capital base.

On the contrary, Definity relies on a more conservative risk-transfer structure suited to its mid-market capitalization. This scale grants Intact an immense operational leverage advantage, allowing it to absorb fixed technology, claims infrastructure, and corporate overhead costs far more efficiently than Definity.



Canadian Personal Property Analysis

Mirroring the pattern seen in Gross Written Premiums, Intact's net underwriting revenue reached $4,292M in 2025, significantly outpacing Definity's $1,188.4M. Both companies expanded their revenue bases at a similar pace over the analyzed horizon, with Intact posting a growth rate of 17.59% and Definity close behind at 16.45%.



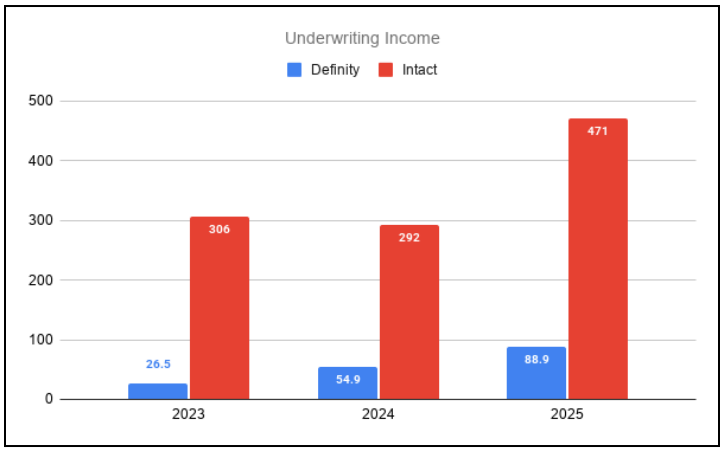
3. Underwriting Income

Canadian Personal Auto Analysis

Both insurers experienced a substantial leap in 2025 auto underwriting profitability, with Intact growing 53.9% and Definity surging 235.5% from 2023 baselines. While profitability across Canada was severely compressed during 2023 and 2024 by hyper-inflationary auto parts pricing and an unprecedented spike in

organized vehicle theft, cumulative rate hardening and regulatory adjustments finally overtook these lagging claims pressures by 2025.

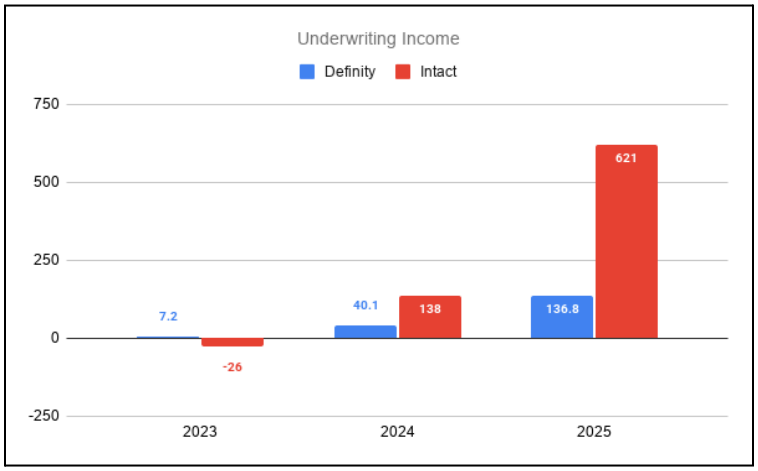
This generated massive bottom-line expansion as earned premiums outpaced systemic loss costs. Despite Definity's higher percentage growth, Intact demonstrated superior structural resilience and pricing power by maintaining a strong profitability baseline even through the peak volatility of 2024.



Canadian Personal Property Analysis

Intact went from an underwriting loss of $26M in 2023 to a profit of $621M in 2025, while Definity grew from a $7.2M gain to $136.8M. Both saw drastic improvements because premium prices caught up to the higher inflationary and severe weather claim costs that hurt the industry in 2023. Intact achieved a $647M revenue swing, significantly larger than Definity’s $129.6M turnaround.

By 2025, Intact generated about 4.5 times more underwriting income than Definity, placing it in a stronger position.

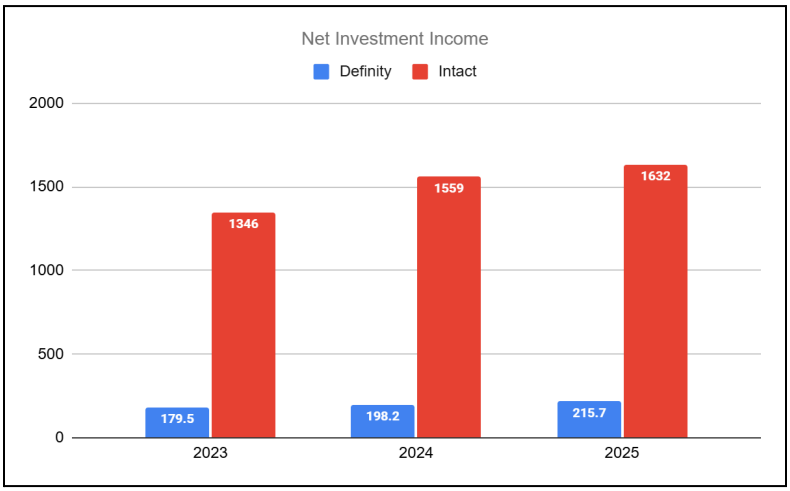


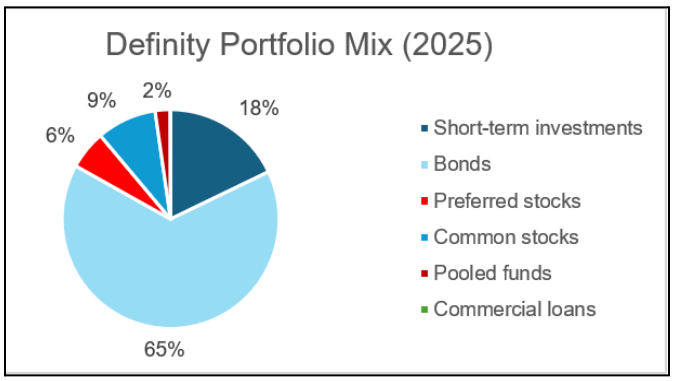
4. Investment Income

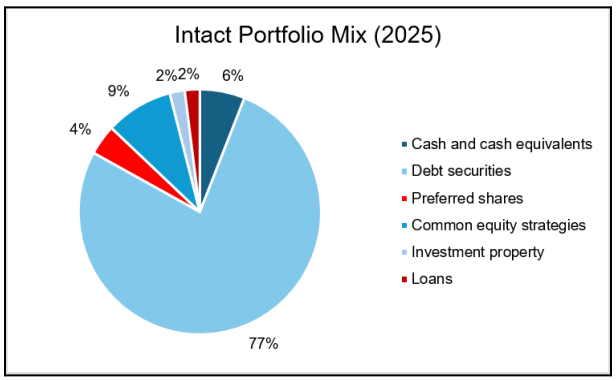
Definity and Intact both earn net investment income primarily through interest earned on bonds and short-term securities. Definity predominantly invests in Canada, with their second largest investment allocation within short-term investments. Both insurers have a conservative investment approach focused on short duration, investment-grade fixed income securities.

Definity's investment portfolio is valued at ~$6.9B, with consistently increasing returns. 2024 Investment income growth was driven by increased bond holdings and the reinvestment of maturing fixed income assets at higher yields. Growth in 2025 was due to an increase in interest income, and Definity's short-term investments increased from ~2% of the portfolio to 17%. This was due to the $1.4B raised to finance the Travelers Acquisition through senior unsecured notes and highly liquid investments. With short-term and bond investments primarily in the government sector (70%) and financial services (18%), the Definity portfolio has lower risk coupled with reduced exposure to equity market volatility in 2025.

Intact manages a $42.6B global portfolio and generates substantially higher investment income compared to Definity due to portfolio size, geographic diversification as ~50% of investments are outside of Canada, and portfolio mix with greater risk exposure. 41% of Intact's portfolio consists of corporate bonds, which have higher yields contributing to larger investment income. Similar to Definity, 2024 growth was also driven by reinvesting assets at higher yields. Growth in investment income slowed down in 2025 due to a lower reinvestment yield. Overall, Definity's portfolio has less risk due to its focus on government securities and liquidity. Intact earns higher investment income from larger AUM, global diversification, and ability to take on credit risk through corporate bonds. Please refer to Appendix 1. It is noted that Intact's investment portfolio reflects all global operations with no disclosure of a portfolio for Canadian operations.





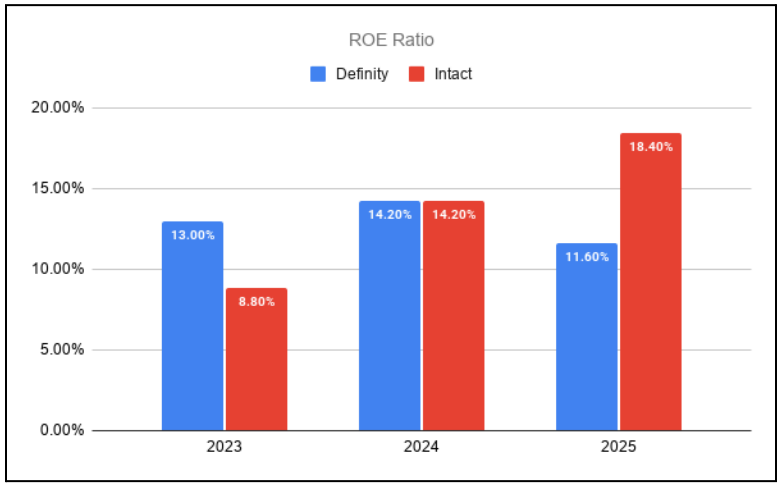


5. ROE

Intact's growth in ROE reflects strong recovery from 2023 catastrophe losses and exit from UK personal lines market. The 2024 ROE growth was supported by improved underwriting results and investment income. In 2025, Intact observed substantial growth in their operation income driven by a 60% increase in underwriting income and overall 45% increase in net income. Holding gains on equity securities and higher investment income further supported ROE increase.

Definity's ROE increase in 2024 was driven by a significant growth in Net Income from $350M to $430M, outpacing the 300M increase in shareholders' equity. To finance the Travelers Acquisition, Definity issued 5.8M common shares for proceeds of $375M, resulting in equity increasing to $3.6B. Further acquisition and operational integration expenses reduced net income. Despite the challenges, Definity's overall ROE growth indicates improved capital efficiency and operating results.

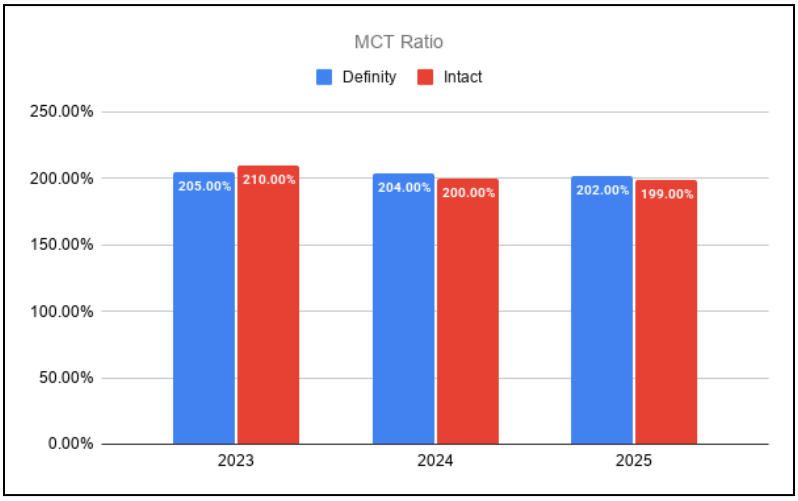
Intact is better positioned as they were able to increase Net Income considerably faster than equity, benefit from stronger underwriting margins from larger commercial lines presence, and global distribution operations. It is noted that Intact's ROE reflects global operations, while Definity's ROE represents primarily Canada operations. Definity's lower ROE can be temporary as the earnings contribution and synergies from the Travelers acquisition have not been fully realized yet.



6. MCT

Both insurers have maintained their MCT ratio above the OSFI supervisory target of 150%. Definity's MCT Ratio remained stable over the period, and the company plans to maintain the current range. Intact observed a notable decline in MTC ratio, however it is still above their internal target of 195%. The pressure to relieve stagnant capital is driven by growth plans and capital optimization. With the release of capital held for MCT in excess of the requirements, Intact can more easily and quickly pursue distribution expansion, pay dividends, and participate in share repurchases. All of these activities generate higher returns than holding the excess capital inefficiently.

Definity's higher MCT ratio provides them with a stronger cushion to protect against catastrophe seasons and unforeseen expense and unexpected claims increases. This risk is further heightened with the recent Travellers acquisition. As a mature global company, Intact can benefit from capital efficiency enabled from allocating capital excess of both supervisory and internal targets into other projects that support growth and shareholder returns.

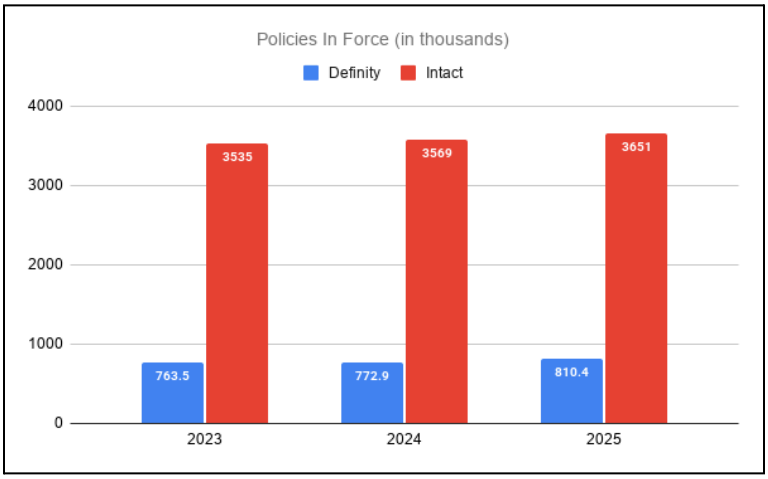


7. Policies in Force (PIF)

Canadian Personal Auto Analysis

Intact dominates the market with 3,651 thousand policies in force in 2025, which is approximately 4.5 times larger than Definity's 810.4 thousand. However, Definity expanded its active portfolio faster at 6.1% compared to Intact's 3.3% expansion, driven by aggressively winning over independent brokers to grab market share after going public.

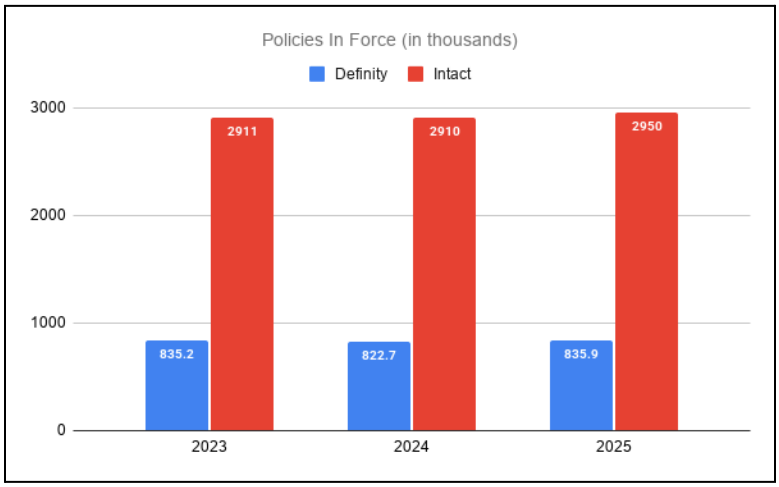
While Definity is growing at a faster relative rate, Intact's massive absolute volume creates a significant statistical advantage. Capturing data from 4.5 times more vehicles allows Intact to feed its proprietary machine-learning risk models with higher-fidelity information, optimizing its pricing segmentation long before competitors can adapt.



Canadian Personal Property Analysis

Intact holds significantly more policies, with 2,950 thousand in 2025 versus Definity's 835.9 thousand. However, both companies saw minimal policy growth, with Definity at 0.08% and Intact at 1.34%. This indicates that the premium growth that occurred did not come from signing up new customers; rather, it

demonstrates that growth was driven by raising prices on existing customers given the rising rates across the industry.

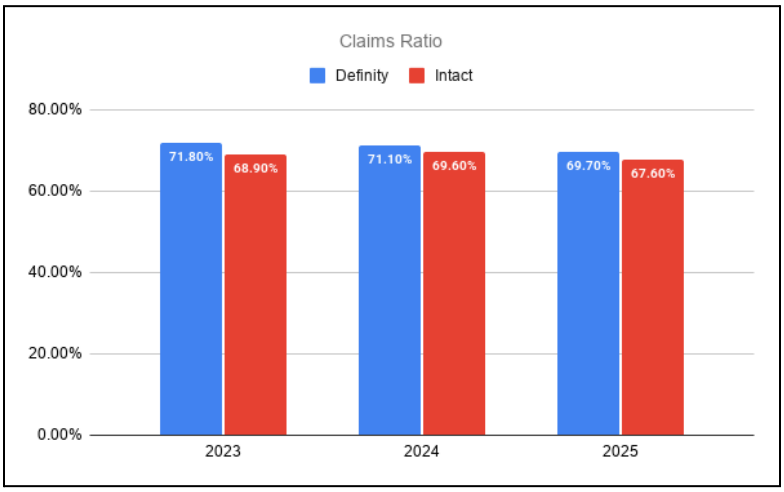


8. Claims Ratio

Canadian Personal Auto Analysis

Both insurers lowered their claims ratios from 2023 to 2025, demonstrating that cumulative rate increases and disciplined underwriting effectively outpaced auto insurance inflation. Intact consistently maintained superior claims performance across the entire three-year period, beating Definity's loss ratio by over 1.5 to 2.9 percentage points annually.

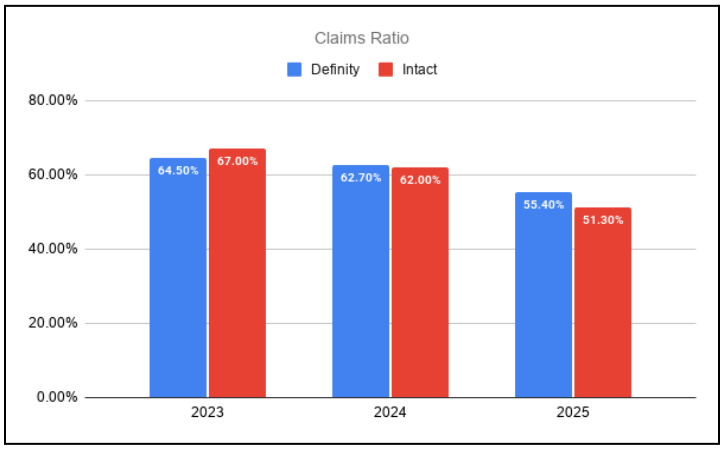
This structural gap stems from Intact's massive scale and its vertically integrated claims supply chain, as it owns and operates a network of preferred direct-repair auto service centers that provides massive buying power on parts and labor. Conversely, Definity relies more heavily on external shop networks, leaving it slightly more exposed to severe inflationary repair costs.



Canadian Personal Property Analysis

Both companies saw improvements from 2023 to 2025, with Definity's claims ratio improving by 9.10 points and Intact's by 15.70 points, meaning that claim costs relative to premiums came down for both companies due to fewer or smaller severe weather losses.

Intact started in a worse position in 2023 at 67% versus Definity's 64.50%. However, Intact saw fast improvement and ended up performing better in 2025, posting a 51.30% claims ratio compared to Definity's 55.40%.

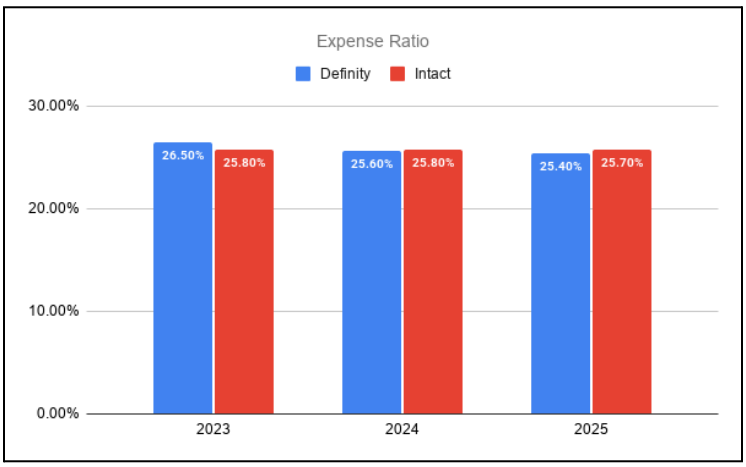


9. Expense Ratio

Canadian Personal Auto Analysis

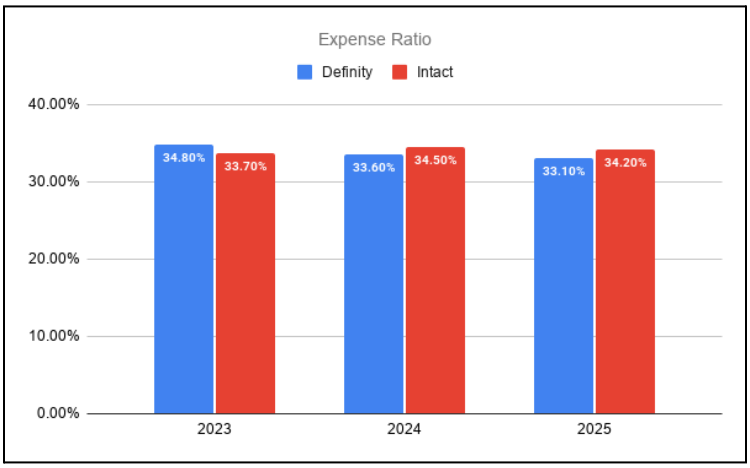
Both companies maintained excellent expense control from 2023 to 2025, keeping their overhead well within the mid-20% range by digitizing underwriting processes and automating routine customer service workflows. Intact demonstrated remarkable operational stability, holding its expense ratio completely flat across 2023 and 2024 before edging down to 25.70% in 2025.

Meanwhile, Definity executed an aggressive cost-reduction strategy, managing to slightly undercut Intact's efficiency baseline by 0.30 percentage points in 2025 through successful, targeted platform cost reductions. While Intact remains highly stable due to pure corporate scale, Definity's ability to trim its operational footprint and undercut an industry giant's efficiency baseline demonstrates exceptional agility and lean execution.



Canadian Personal Property Analysis

Definity lowered its expense ratio from 34.80% to 33.10%, while Intact's increased from 33.70% to 34.20%. Consequently, in 2025, Definity's property insurance line ran cheaper than Intact's by 1.1 percentage points. This may demonstrate that Definity did a better job controlling its costs, such as overhead and claims processes.



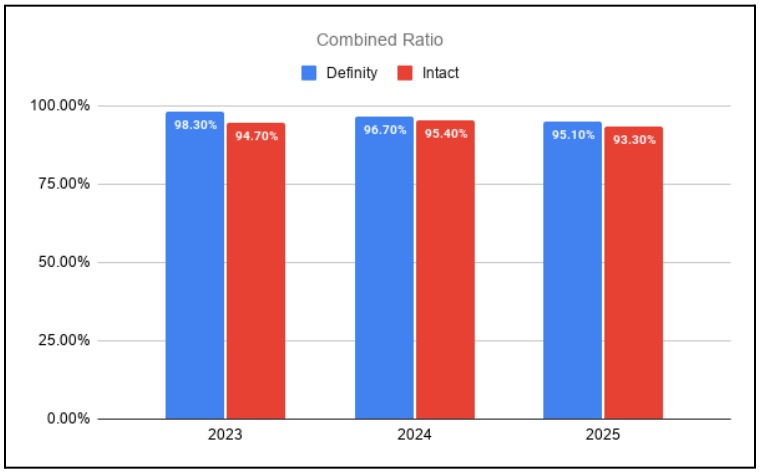
10. Combined Ratio

Canadian Personal Auto Analysis

Both insurers maintained a combined ratio below 100% throughout the three-year period, indicating sustained technical underwriting profitability despite a highly volatile macro environment. The general downward trend across the horizon shows that the compounding effect of premium rate increases, stricter risk selection, and targeted claims management successfully offset the massive challenges from inflation and surging auto thefts in 2023 and 2024.

Intact consistently outperformed Definity over this three-year horizon, maintaining a combined ratio that stayed 1.4% to 3.6% lower than Definity's annually. Because their expense ratios were highly competitive, this outperformance was driven almost entirely by Intact's structurally superior claims ratio. Ultimately, Intact's ability to consistently deliver a lower combined ratio across the entire cycle

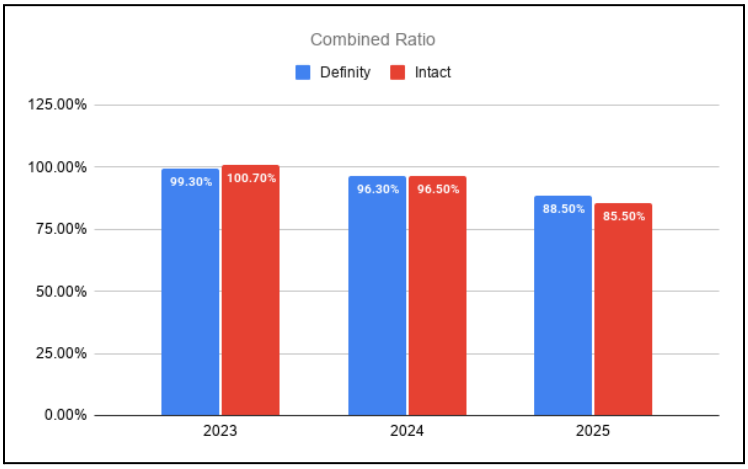
underscores its superior underwriting discipline and structural cost advantages, allowing it to extract higher profit margins from every dollar of premium written.



Canadian Personal Property Analysis

Both insurers ended up under 100% by 2025, indicating underwriting profitability. However, Intact started above 100% in 2023, a period when Definity sat at 99.30%. Intact then saw major improvement, ultimately passing Definity with an 85.50% combined ratio in 2025 versus Definity's 88.50%.

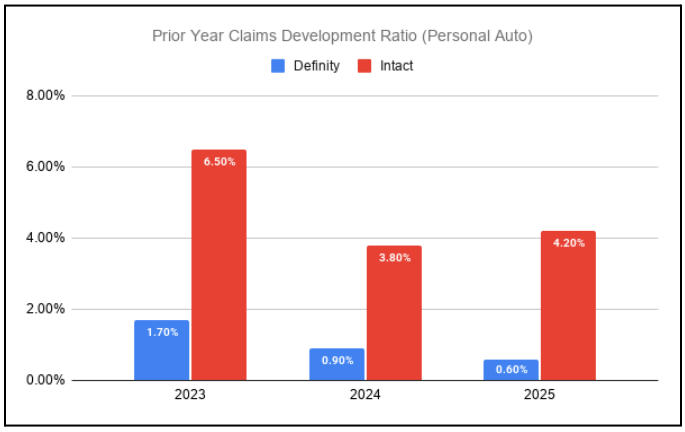
This shift shows that Intact's improvements in its claims ratio successfully outweighed its expense ratio, giving it a stronger property profitability position by 2025.

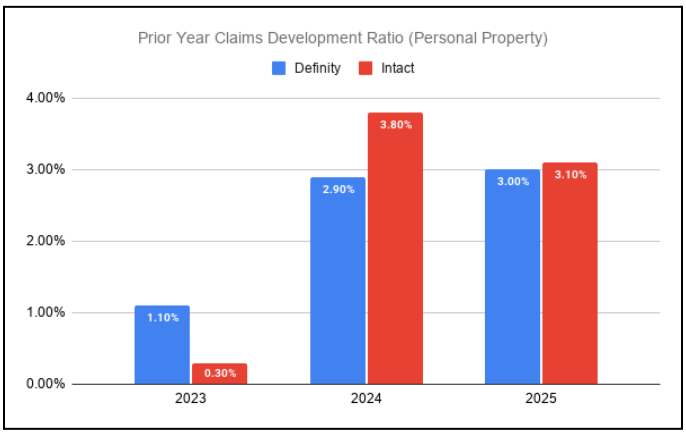


11. PYD

Prior-Year Claims Development measures the difference in prior year-end estimates of ultimate claim costs. Both issuers reported favourable claims development in 2025. Definity's PYD was 0.6% for personal auto and 3% for personal property. Comparatively, Intact reported larger favourable PYD ratios of 4.2% and 3.1% respectively. A favourable result indicates that prior year claims costs incurred for the current period are less than the original estimate, allowing the insurer to release excess capital held in claims reserves.

Intact's favourable claims development on their auto line was notably higher due to conservative reserve setting policies for initial claims estimates in original accident years. Management stated that the company follows a conservative reserving approach to provide a cushion against unprotected claims. On the other hand, Definity's smaller favourable position could suggest that original ultimate claims estimates are more accurate, and that their personal auto line had not substantially benefited from prior year releases. This is evident as Definity's filings indicate the firm has historically recognized favorable prior year claims development of 1%-2%. It is noted that Definity's improved bodily injury reserves from the exited Sonnet Alberta operations are not reflected in the personal auto PYD ratio. For public insurers, consistently high favourable PYD may suggest that conservative estimates are used to help make subsequent earnings results appear stronger, weakening earnings quality. Intact is better positioned to protect itself against unexpected adverse claims development and Definity's approach towards estimating and recognizing PYD can provide a more accurate reflection of current period performance.





Conclusion

Based on the strategic analysis, financial metrics, industry trends, and qualitative factors, Intact Financial Corporation has the greatest strategic and financial advantage and is the company most likely to achieve sustained long-term success in the Canadian property and casualty (P&C) insurance market. However, Definity Financial represents the stronger growth opportunity, particularly following its acquisition of Travelers Canada. While Definity has significant upside, Intact's combination of market leadership, scale, profitability, and financial strength provides it with a more durable competitive advantage.

Intact's Strategic Advantage

Intact benefits from several structural advantages that are difficult for competitors to replicate. It controls approximately 18% of the Canadian P&C market, compared with Definity's approximately 5%, making it the clear market leader. Its operations extend beyond Canada into the United States and the United Kingdom, providing diversification that reduces dependence on Canadian catastrophe losses and economic conditions. In comparison, Definity operates only within Canada, making it more vulnerable to Canadian regulatory changes and severe weather events.

Intact has also demonstrated consistent success through strategic acquisitions, while expanding its distribution of its insurance products using brokers such as BrokerLink and belairdirect. These acquisitions have strengthened its specialty insurance portfolio, increased economies of scale, improved their claims management capabilities and helped improve customer relationships. Definity's acquisition of Travelers Canada significantly improves its competitive position by moving them into Canada's top 5 P&C insurers but the integration risks and expected synergies or benefits have yet to be fully realized.

Superior Financial Performance

Financial metrics consistently favour Intact across nearly every category.

Intact receives substantially higher premium volumes and underwriting revenue in both personal auto and personal property insurance. Its larger customer base allows the company to spread fixed costs over a much broader premium base, improving operating efficiency and profitability. The company also benefits from a significantly larger volume of policyholder data, improving their pricing accuracy through use of artificial intelligence and predictive analytics.

Although Definity experienced faster percentage growth in underwriting income, this was largely due to it being smaller than Intact to begin with. By 2025, Intact still generated around 4.5 times more underwriting income in personal property insurance and maintained a larger underwriting profit overall. Intact also demonstrated greater resilience during the difficult 2023–2024 period, maintaining profitability despite increased catastrophe losses and rises in inflation.

Return on Equity (ROE) further supports Intact's advantage. Its ROE improvements were driven by stronger underwriting margins, higher investment income and improved operating earnings. Definity's ROE also improved but improvements were minimized by the equity issued to finance the Travelers acquisition and integration expenses. While Definity's ROE could improve as synergies are realized, Intact currently generates stronger returns for shareholders.

Better Underwriting Performance

Intact consistently outperformed Definity in underwriting performance.

Intact maintained lower claims ratios across both auto and property insurance, reflecting stronger pricing ability and more effective claims management. Its combined ratios also remained consistently below Definity's, indicating that Intact earns more underwriting profit from every premium dollar collected. Lower combined ratios shows that Intact has better operational efficiency and better risk selection compared to Definity.

Although Definity achieved slightly lower expense ratios in several business lines, the advantage was relatively small and insufficient to minimize Intact's superior claims performance. Since claims costs

represent the largest expense for insurers, Intact's ability to consistently control loss costs creates a more sustainable competitive advantage than small differences in operating expenses.

Strong Capital Position

Both companies maintain capital well above the Office of the Superintendent of Financial Institutions (OSFI) supervisory target of 150%, indicating strong financial stability and ability to meet its long term business obligations such as paying out claims. However, Intact operates with greater capital efficiency by maintaining capital closer to its internal target of 195% while deploying excess capital into acquisitions, dividends and share repurchases that enhance shareholder value.

Definity's higher Minimum Capital Test (MCT) ratio provides a larger safety cushion against catastrophe losses as it shows they are quite solvent and supports the integration of Travelers Canada but it also shows that they are less efficiently using their capital.

Additional Indicators Supporting Intact

Beyond financial ratios, several broader indicators reinforce Intact's long-term competitive position:

- Brand strength and customer reach: Intact serves their customers through multiple channels including independent brokers increasing their customers and improving current customers retention.
- Technology leadership: Due to Intact being a larger company and having more policyholders they hence have a large dataset of different people’s data which is helpful in AI-driven underwriting and pricing models and helps improve on the pricing of policies.
- International diversification: Exposure to multiple different country markets reduces the reliance on Canadian insurance economy cycles and helps spread catastrophe risk across different regions.
- Conservative reserving: Intact reports stronger favourable prior-year claims development, demonstrating more wise reserve management that provides protection against unfortunate and unexpected claims experiences.
- Industry trends: Climate change, inflation and increasing catastrophe losses favour insurers with larger capitals, advanced catastrophe modelling capabilities and diversified operations. Intact is better positioned to absorb these challenges while continuing to invest in technology and future acquisitions.

Definity's Growth Potential

Despite Intact's overall advantage, Definity should not be overlooked. Since demutualizing in 2021, the company has demonstrated exceptional strategic execution through capital raising, acquisitions and rapid expansion. The Travelers Canada acquisition has significantly increased its scale, market share and overall competition, moved the company into Canada's top five insurers, strengthened broker relationships and will provide substantial opportunities for future earnings growth once integration synergies have been realized. Definity's faster growth in policies, underwriting income and operational efficiency suggests it may outperform the industry over the next couple years but would start to slow down due to the lack of diversification that Intact has.

Conclusion

Overall, Intact Financial Corporation is better positioned for long-term success in the Canadian insurance market. Its market leadership, diversified operations, superior underwriting performance, stronger ROE, efficient capital management, extensive distribution network and advanced data capabilities provide sustainable competitive advantages that are difficult for competitors to replicate. While Definity offers stronger growth potential following its strategic acquisitions and operational improvements, it remains smaller, more exposed to risk due to only operating in Canada and faces greater execution risk as it integrates Travelers Canada. Therefore, Intact is expected to continue leading the Canadian P&C insurance industry, while Definity is likely to remain one of its fastest-growing challengers.

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Appendices

Appendix 1: Investment Splits (in millions)

Definity Investment Split by Asset	2023	2024	2025
Short-term investments	137.0	97.4	1,234.5
Bonds	3,773.0	4,043.1	4,494.5
Preferred stocks	332.8	326.5	395.9
Common stocks	595.5	698.4	613.9
Pooled funds	74.7	88.9	154.5
Commercial loans	18.0	16.2	3.6
Total	**4,931.0**	**5,270.5**	**6,896.9**
Definity Investment Split by Geography	**2023**	**2024**	**2025**
Canada	4,648.9	4,927.8	6,612.1
United States	197.4	251.6	213.9
Europe	39.5	42.0	35.0
Other	27.2	32.9	32.3
Total	**4,913.0**	**5,254.3**	**6,893.3**
Intact Investment Split by Asset	**2023**	**2024**	**2025**
Cash and cash equivalents	5%	4%	6%
Debt securities	81%	79%	77%
Preferred shares	4%	4%	4%
Common equity strategies	6%	10%	9%
Investment property	1%	1%	2%
Loans	3%	2%	2%
Total	**100%**	**100%**	**100%**
Intact Investment Split by Geography	**2023**	**2024**	**2025**
Canada	53%	49%	48%
United States	26%	29%	29%
UK	10%	10%	9%
Other	11%	12%	14%
Total	**4,913.0**	**5,254.3**	**6,893.3**

Appendix 2: Metrics Year-wise Data & 3-Year Growth (%)

Metric	Company	2023	2024	2025	Growth
Gross Written Premium / Operating DPW	Definity	1657.1	1867.4	2001.4	20.78%
Gross Written Premium / Operating DPW	Intact	5956	6640	7352	23.44%
Metric	**Company**	**2023**	**2024**	**2025**	**Growth**
Net Underwriting Revenue / Operating Net Underwriting Revenue	Definity	1529.2	1655.8	1830.7	19.72%
Net Underwriting Revenue / Operating Net Underwriting Revenue	Intact	5808	6392	7054	21.45%
Metric	**Company**	**2023**	**2024**	**2025**	**Growth**
Underwriting Income	Definity	26.5	54.9	88.9	235.47%
Underwriting Income	Intact	306	292	471	53.92%
Metric	**Company**	**2023**	**2024**	**2025**	**Growth**
Policies in Force (PIF) (in thousands)	Definity	763.5	772.9	810.4	6.14%
Policies in Force (PIF) (in thousands)	Intact	3535	3569	3651	3.28%
Metric	**Company**	**2023**	**2024**	**2025**	**Growth**
Net Investment Income	Definity	179.5	198.2	215.7	20.17%
Net Investment Income	Intact	1346	1559	1632	21.25%

Appendix 3: Ratios Year-wise Data & 3-Year Growth (%)

Metric	Company	2023	2024	2025	Growth
Claims Ratio	Definity	71.80%	71.10%	69.70%	-2.10%
Claims Ratio	Intact	68.90%	69.60%	67.60%	-1.30%
Metric	**Company**	**2023**	**2024**	**2025**	**Growth**
Expense Ratio	Definity	26.50%	25.60%	25.40%	-1.10%
Expense Ratio	Intact	25.80%	25.80%	25.70%	-0.10%
Metric	**Company**	**2023**	**2024**	**2025**	**Growth**
Combined Ratio	Definity	98.30%	96.70%	95.10%	-3.20%
Combined Ratio	Intact	94.70%	95.40%	93.30%	-1.40%
Metric	**Company**	**2023**	**2024**	**2025**	**Growth**
ROE Ratio	Definity	13.00%	14.20%	11.60%	-1.40%
ROE Ratio	Intact	8.80%	14.20%	18.40%	9.60%
Metric	**Company**	**2023**	**2024**	**2025**	**Growth**
MCT Ratio	Definity	205.00%	204.00%	202.00%	-1.46%
MCT Raio	Intact	210.00%	200.00%	199.00%	-5.24%
Metric	**Company**	**2023**	**2024**	**2025**	**Growth**
Prior Year Claims Development Ratio (Personal Auto)	Definity	1.70%	0.90%	0.60%	-1.10%
Prior Year Claims Development Ratio (Personal Auto)	Intact	6.50%	3.80%	4.20%	-2.30%
Metric	**Company**	**2023**	**2024**	**2025**	**Growth**
Prior Year Claims Development Ratio (Personal Property)	Definity	1.10%	2.90%	3.00%	1.90%
Prior Year Claims Development Ratio (Personal Property)	Intact	0.30%	3.80%	3.10%	2.80%